

WARPSimLab Tax Report

warpsimlab.org

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Projection Period: 2026-2056

Report Basis: Real Dollars (Inflation Adjusted)

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This report is intended solely for educational purposes.
It is not financial, investment, tax, legal, retirement, or other professional advice.
All results are generated from user-provided assumptions and user-provided tax settings and simulated market conditions.

Tax Highlights

Lifetime Total Tax

\$362,294

Lifetime Federal Income Tax

\$157,802

Lifetime State Income Tax

\$125,315

Lifetime Payroll Tax

\$79,177

Average Effective Tax Rate

14.90%

**Highest Marginal Tax
Bracket**

12.00%

Tax Overview

This report summarizes the taxes estimated by WARPSimLab over the simulation period. It is intended to explain how federal income taxes, state income taxes, payroll taxes, Roth assets, HSA assets, and required minimum distributions affect the simulated plan.

This report is not a tax return, does not replace tax software, and should not be interpreted as professional tax advice.

Tax Model Limitations

WARPSimLab uses simplified, planning-grade tax calculations. The goal is to explain broad retirement tax behavior, not to reproduce a tax return.

- Social Security benefits are currently treated as ordinary taxable income rather than using the detailed federal provisional-income rules.
- Qualified dividends and long-term capital gains are modeled with simplified tax handling and may not match an actual tax return.
- Emergency pre-tax withdrawals use a one-pass approximation. A fully precise calculation would require an iterative withdrawal/tax solve.
- Roth accounts are modeled as tax-free retirement buckets. The simulator does not currently optimize Roth withdrawal timing or Roth conversions.
- HSA accounts are modeled as simplified tax-free buckets. The simulator does not currently distinguish qualified medical withdrawals from other uses.
- State income taxes are planning-grade approximations and may omit deductions, credits, local taxes, and state-specific retirement income rules.

Tax Settings Used

These are the tax calculation settings used when the simulation was run.

Calculate Income Taxes	Yes
Calculate Payroll Taxes	Yes
Calculate State Taxes	Yes
Tax Filing Status	Married filing jointly
State of Residence	NM
Include RMDs	Yes

Lifetime Tax Summary

This section summarizes estimated taxes across the full simulation period.

Lifetime Federal Ordinary Tax	\$157,802
Lifetime Federal Qualified Dividend Tax	\$0
Lifetime Federal Income Tax	\$157,802
Lifetime State Income Tax	\$125,315
Lifetime Payroll Tax	\$79,177
Lifetime Social Security Payroll Tax	\$64,170
Lifetime Medicare Tax	\$15,007
Lifetime Additional Medicare Tax	\$0
Lifetime Total Tax	\$362,294
Lifetime Gross Income	\$2,431,659
Average Effective Tax Rate	14.90%
Highest Annual Tax Bill	\$24,293
Lowest Annual Tax Bill	\$0
Highest Marginal Tax Bracket	12.00%

Tax Insights

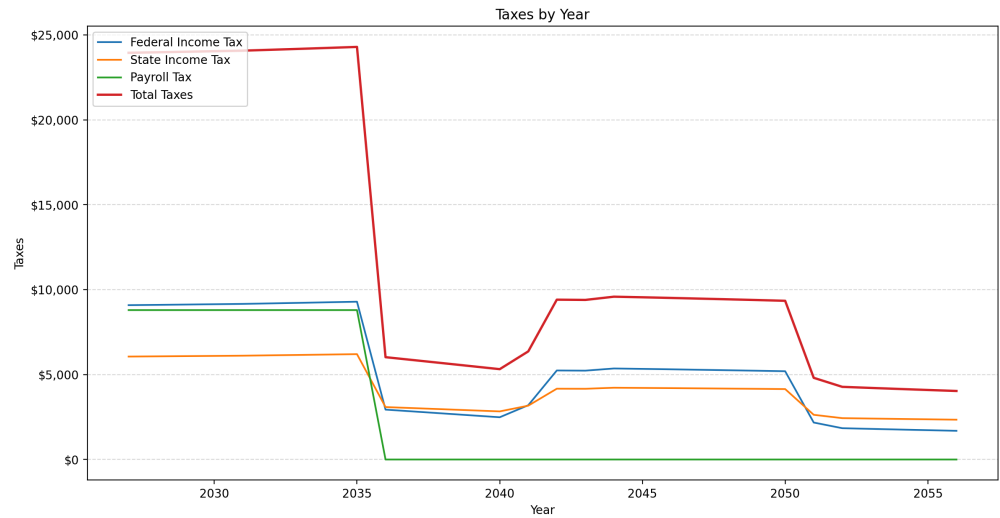
This section summarizes the most important tax characteristics of the simulation and explains why they occurred. These observations are generated directly from the simulation results.

- Federal income taxes account for 43.6% of lifetime taxes.
- State income taxes account for 34.6% of lifetime taxes.
- Payroll taxes account for 21.9% of lifetime taxes.
- Average effective tax rate over the simulation is 14.90%.
- Payroll taxes decline and eventually disappear once earned employment income ends.
- Required Minimum Distributions begin in 2044.
- Once RMDs begin, they increase taxable retirement income.
- The largest annual tax bill occurs in 2035 (\$24,293).

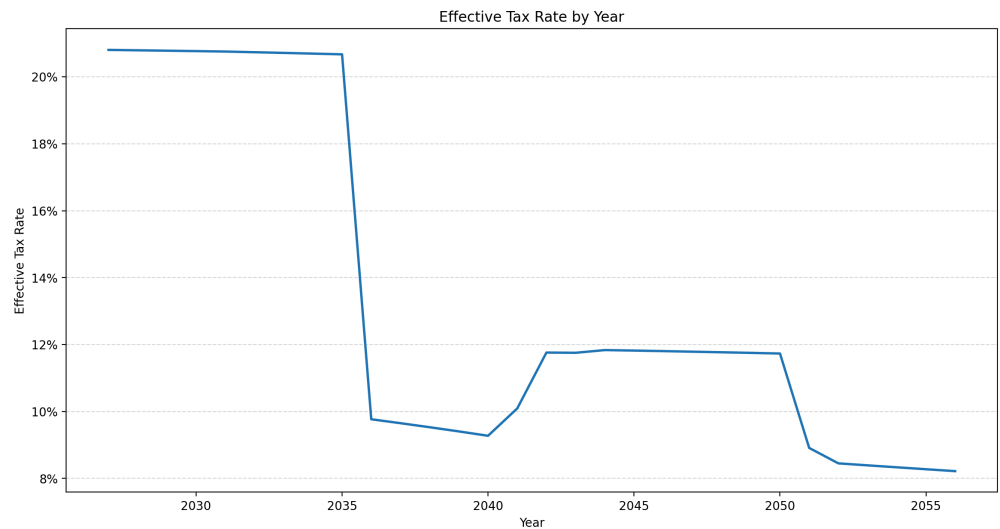
Tax Visuals

These charts show how estimated taxes and withdrawal sources change over time.

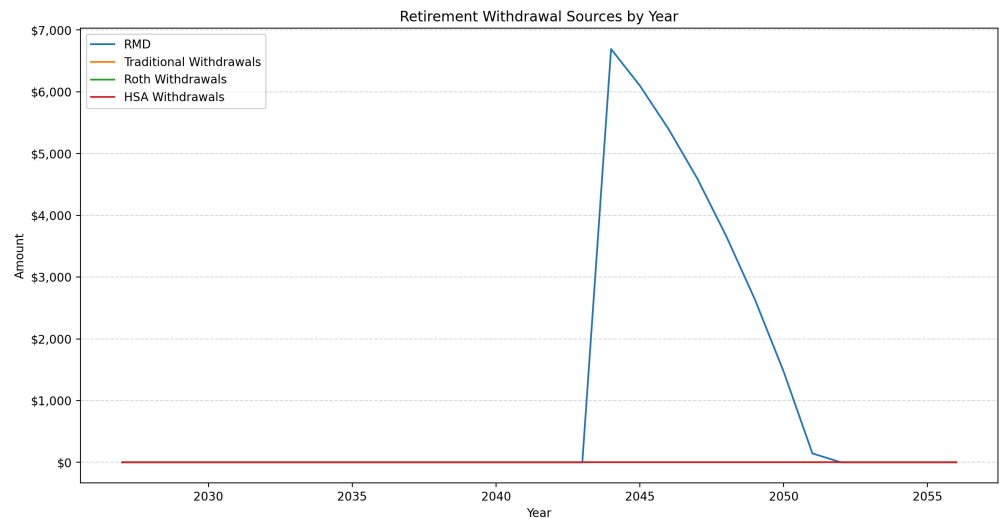
Taxes by Year



Effective Tax Rate by Year



Retirement Withdrawal Sources by Year



Tax Source Breakdown

These values summarize the income sources that contributed to taxable income and tax exposure during the simulation.

Work Income	\$1,008,000
Social Security	\$756,000
Pensions	\$183,867
Annuities	\$183,867
Traditional Withdrawals	\$0
RMDs	\$30,703
Bond Interest	\$7,991
Cash Interest	\$6,486
Qualified Dividends	\$6,100

Required Minimum Distribution Analysis

Required Minimum Distributions can increase taxable income later in retirement. This section summarizes when RMDs appear and their total simulated impact.

First RMD Year	2,044
Largest RMD	\$6,693
Lifetime RMD Withdrawals	\$30,703

Roth Analysis

WARPSimLab currently treats Roth accounts as tax-free retirement buckets. Roth withdrawals occur only after post-tax and pre-tax assets are depleted under the current withdrawal order.

Starting Roth Balance	\$0
Ending Roth Balance	\$0
Total Roth Withdrawals	\$0

HSA Analysis

WARPSimLab currently treats HSA accounts as simplified tax-free buckets. HSA withdrawals occur only after post-tax, pre-tax, and Roth assets are depleted.

Starting HSA Balance	\$0
Ending HSA Balance	\$0
Total HSA Withdrawals	\$0

Year-by-Year Tax Details

This detailed table provides the annual tax values used to generate the summaries and charts presented earlier in the report.

Year	Age	Gross Income	Federal Income Tax	State Income Tax	Payroll Tax	Total Taxes	Effective Tax Rate	Marginal Tax Bracket	RMD	Roth Withdrawals	HSA Withdrawals
2,027	56 / 56	\$115,095	\$9,088	\$6,062	\$8,798	\$23,947	20.81%	12.00%	\$0	\$0	\$0
2,028	57 / 57	\$115,304	\$9,106	\$6,074	\$8,797	\$23,977	20.79%	12.00%	\$0	\$0	\$0
2,029	58 / 58	\$115,521	\$9,124	\$6,087	\$8,798	\$24,008	20.78%	12.00%	\$0	\$0	\$0
2,030	59 / 59	\$115,744	\$9,143	\$6,100	\$8,797	\$24,040	20.77%	12.00%	\$0	\$0	\$0
2,031	60 / 60	\$115,974	\$9,162	\$6,113	\$8,798	\$24,073	20.76%	12.00%	\$0	\$0	\$0
2,032	61 / 61	\$116,340	\$9,193	\$6,135	\$8,797	\$24,126	20.74%	12.00%	\$0	\$0	\$0
2,033	62 / 62	\$116,717	\$9,225	\$6,157	\$8,798	\$24,180	20.72%	12.00%	\$0	\$0	\$0
2,034	63 / 63	\$117,105	\$9,258	\$6,180	\$8,797	\$24,235	20.70%	12.00%	\$0	\$0	\$0
2,035	64 / 64	\$117,506	\$9,292	\$6,204	\$8,797	\$24,293	20.67%	12.00%	\$0	\$0	\$0
2,036	65 / 65	\$61,681	\$2,938	\$3,087	\$0	\$6,025	9.77%	12.00%	\$0	\$0	\$0
2,037	66 / 66	\$60,613	\$2,826	\$3,024	\$0	\$5,850	9.65%	12.00%	\$0	\$0	\$0
2,038	67 / 67	\$59,536	\$2,713	\$2,961	\$0	\$5,674	9.53%	12.00%	\$0	\$0	\$0
2,039	68 / 68	\$58,449	\$2,601	\$2,896	\$0	\$5,497	9.40%	12.00%	\$0	\$0	\$0
2,040	69 / 69	\$57,351	\$2,488	\$2,832	\$0	\$5,319	9.27%	12.00%	\$0	\$0	\$0
2,041	70 / 70	\$63,091	\$3,196	\$3,170	\$0	\$6,367	10.09%	12.00%	\$0	\$0	\$0
2,042	71 / 71	\$80,018	\$5,242	\$4,169	\$0	\$9,411	11.76%	12.00%	\$0	\$0	\$0

Year	Age	Gross Income	Federal Income Tax	State Income Tax	Payroll Tax	Total Taxes	Effective Tax Rate	Marginal Tax Bracket	RMD	Roth Withdrawals	HSA Withdrawals
2,043	72 / 72	\$79,935	\$5,232	\$4,164	\$0	\$9,396	11.75%	12.00%	\$0	\$0	\$0
2,044	73 / 73	\$80,997	\$5,360	\$4,227	\$0	\$9,586	11.84%	12.00%	\$6,693	\$0	\$0
2,045	74 / 74	\$80,802	\$5,336	\$4,215	\$0	\$9,551	11.82%	12.00%	\$6,100	\$0	\$0
2,046	75 / 75	\$80,589	\$5,311	\$4,203	\$0	\$9,513	11.80%	12.00%	\$5,396	\$0	\$0
2,047	76 / 76	\$80,361	\$5,283	\$4,189	\$0	\$9,473	11.79%	12.00%	\$4,594	\$0	\$0
2,048	77 / 77	\$80,133	\$5,256	\$4,176	\$0	\$9,432	11.77%	12.00%	\$3,667	\$0	\$0
2,049	78 / 78	\$79,899	\$5,228	\$4,162	\$0	\$9,390	11.75%	12.00%	\$2,638	\$0	\$0
2,050	79 / 79	\$79,644	\$5,197	\$4,147	\$0	\$9,344	11.73%	12.00%	\$1,470	\$0	\$0
2,051	80 / 80	\$53,974	\$2,177	\$2,632	\$0	\$4,810	8.91%	10.00%	\$145	\$0	\$0
2,052	81 / 81	\$50,632	\$1,843	\$2,435	\$0	\$4,278	8.45%	10.00%	\$0	\$0	\$0
2,053	82 / 82	\$50,233	\$1,803	\$2,412	\$0	\$4,215	8.39%	10.00%	\$0	\$0	\$0
2,054	83 / 83	\$49,846	\$1,765	\$2,389	\$0	\$4,153	8.33%	10.00%	\$0	\$0	\$0
2,055	84 / 84	\$49,469	\$1,727	\$2,367	\$0	\$4,093	8.27%	10.00%	\$0	\$0	\$0
2,056	85 / 85	\$49,102	\$1,690	\$2,345	\$0	\$4,035	8.22%	10.00%	\$0	\$0	\$0

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